

Iran sanctions pose no threat to China summit

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Return to US-Canada talks unlikely ahead of 8 September deadline

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Driscoll's exit will consolidate Hegseth's position at Pentagon

Iran sanctions pose no threat to China summit. Monday's sanctions rollout did not include major new sanctions, instead pairing significant expansions of potential sanctions' scope with explicit demands that nations halt dealings with Iran.

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The measures announced fall below the threshold of upsetting the Trump-Xi summit scheduled for September; the administration's signaling in Treasury Secretary Scott Bessent's speech indicates the US will continue to prioritize keeping the summit on track.

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Despite Bessent's indication that a "major financial institution" will be targeted by the end of the week, the scope of newly announced US sanctions targets are unlikely to shift Iran's strategy in the near term. Durable sanctions expansion would be needed to impose major economic pain on the Iranian regime, though they would likely return to kinetic engagement before capitulating.

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The UAE and other GCC states are in the most danger of being targeted under these measures, as significant amounts of Iranian cash flow through them. The Trump administration appeared to loop in the UAE on its plans, with the UAE already announcing it is pulling back from some Iranian engagements.

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Please see forthcoming note for more.

Return to US-Canada talks unlikely ahead of 8 September deadline. After the collapse of US-Canada trade talks last week, Eurasia Group assigns a 30% probability to the return to the status quo that prevailed before the US implemented Section 338 tariffs on Friday.

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With Canadian Prime Minister Mark Carney having announced that retaliatory tariffs on the US will go into effect on 8 September, US-Canada negotiations are now in a two-week sprint to avoid an escalatory cycle. Removal of the US's Section 338 tariffs would likely be required to avoid Canadian retaliation.

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But the political dynamics in Canada make a near-term return to the table structurally difficult, as they make it politically costly for Carney to agree to a deal. Polling suggests up to 75% of Canadians supported Carney's decision to suspend talks, and two of the three US demands that reportedly broke the deal—third-party trade deals and French language issues—are third rails in Canadian domestic politics because of the perceived infringement on sovereignty. Meanwhile, on the US side, the impending midterms, and the potential costs of a trade war to Republicans in tight Senate races, are not a substantial factor in Trump's thinking.

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President Trump's threat to increase the tariff on Canadian autos, auto parts, and trucks to 50% starting on 1 January 2027 appears to be a negotiating maneuver meant to turn the screws on Canada, with a long runway to imposition; given the close integration of US-Canada auto supply chains, implementing such a tariff would likely have a high domestic cost.

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For more, please see Conference Call Notes: US-Canada trade update , 24 August 2026.

Mail-in ballot litigation will continue ahead of midterms. The Supreme Court's ruling yesterday to allow the US Postal Service to move forward with a rulemaking on provisions related to mail-in voting is by no means the last say on the matter, with litigation set to continue over the coming weeks.

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The technicalities of the ruling are important, though arcane: The Supreme Court set aside a lower court's block on USPS initiating and finalizing the rulemaking at all. It did not opine on the legality of the rule itself, which was published on Friday, and which could well be blocked in imminent future litigation.

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Blocks from lower courts, a number of which are clearly skeptical of the order, could come as soon as in the next two weeks. Moreover, the Supreme Court ruling applies only to part of the order; a Massachusetts judge's block on USPS from enforcing the order for the 2026 midterms remains in effect.

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The combination of these current (and remaining) legal hurdles, as well as the logistical difficulties of enforcing new provisions on mail-in ballots in the few remaining weeks before they start going out to voters, means that any impact on the midterms is likely to be quite limited, if existent at all.

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If the administration does succeed in introducing new provisions on mail-in ballots this year, it's not clear that it would clearly benefit Republicans; political scientists have broadly found that widespread mail-in voting has ambiguous partisan effects, even though it increases turnout.

Driscoll's exit will consolidate Hegseth's position at Pentagon. On 22 August, Secretary of the Army Dan Driscoll, the youngest Secretary of the Army in US history, announced his plans to step away from his

post by year's end.

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Driscoll, a Yale Law School graduate and close ally of Vice President JD Vance, co-authored the Army Transformation Initiative and was a leading force in the service's AI and autonomous system modernization. While at the Pentagon, Driscoll was seen as a potential replacement for the embattled Secretary Pete Hegseth – his exit consolidates Hegseth's position while limiting Vance's influence in the building.

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Driscoll's announcement comes amid a larger shake-up in Pentagon personnel since January 2025. Driscoll worked closely with former Army Chief of Staff Randy George, who was dismissed by Secretary Hegseth in April for personal reasons. Driscoll intervened to keep George in the role, fracturing his relationship with the Secretary. Finally, tensions reached a breaking point last week as Hegseth disbanded the Army's dedicated drone battalion, the crown jewel of Driscoll and George's work together, and scuttled the service's modernization push.

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After Driscoll's impending exit, the Army will be left with no Senate-confirmed leadership. Army Chief of Staff Chris LaNeve, a close confidant of Secretary Hegseth and critic of the service's autonomous system adaptation, is currently in the role in an acting capacity and faces bipartisan push back to his confirmation on Capitol Hill.

Quote of the Day

"As a classic free-market guy, I've been pretty concerned about the direction we're going down for a while now. With JD Vance, it's on steroids." - Vance Ginn, former chief economist in the Office of Management and Budget during Trump's first term. Vice President JD Vance's rejection of classical conservative economic policies and recent criticism of figures like Margaret Thatcher and Milton Friedman has rattled old-guard Republicans, a faction that has a volatile relationship with Trump and is hoping to move the party away from populism in the lead-up to 2028.

On the Radar

27 July – 28 August: House on recess

10 August – 14 September: Senate on recess

1 September: Massachusetts primaries

8 September: Canadian retaliatory tariffs go into effect

9-10 September: GOP midterms convention

18-28 September: High-Level Week at UN General Assembly

24 September: Trump-Xi summit

30 September: Government funding runs out

3 November: National midterm elections

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